



Risk Register 2021

Spirax-Sarco Engineering Pension Plan

Funding Risks

Risk	Likelihood	Impact	Score	Owner
Adverse investment returns relative to liabilities	Low	Med-High	11	Investment Cttee
Interest rate and inflation movements	Low	Med-High	5	Trustee
Longevity improvements beyond assumptions	Low	Med-High	8	Sponsor
Member option take-up variations	Low-Med	Medium	4	Trustee

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Covenant Risks

Risk	Likelihood	Impact	Score	Owner
Sponsor financial deterioration	Medium	Medium	12	Administrator
Corporate restructuring or disposal	Med-High	Med-High	9	Investment Cttee
Dividend policy changes	Low-Med	Medium	6	Administrator

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Investment Risks

Risk	Likelihood	Impact	Score	Owner
Counterparty failure in LDI arrangements	Med-High	High	6	Investment Ctte
Liquidity shortfall under stress	Low	High	9	Investment Ctte
Manager underperformance	Low-Med	Med-High	8	Sponsor

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Operational Risks

Risk	Likelihood	Impact	Score	Owner
Administrator errors or delays	Low-Med	Medium	12	Sponsor
Data quality degradation	Low	Med-High	7	Sponsor
Cyber and information security	Low	Medium	15	Investment Ctte

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Legal & Regulatory Risks

Risk	Likelihood	Impact	Score	Owner
GMP conversion complexity	Low	Medium	15	Trustee
Changes to tax regime for pensions	Med-High	High	7	Sponsor
New Funding Code compliance	Low	High	6	Trustee

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Member Outcomes Risks

Risk	Likelihood	Impact	Score	Owner
Member communications breakdowns	Medium	Medium	14	Trustee
Complaints and IDRP escalations	Medium	Medium	10	Trustee
Safeguarding vulnerable customers	Med-High	High	4	Sponsor

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Transaction Risks

Risk	Likelihood	Impact	Score	Owner
BPA pricing volatility	Low	High	9	Investment Ctte
Insurer capacity and selection	Low-Med	Medium	14	Investment Ctte
Transfer documentation errors	Medium	Med-High	11	Investment Ctte

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Climate Risks

Risk	Likelihood	Impact	Score	Owner
Transition risk on strategic allocation	Medium	Med-High	9	Administrator
Physical risk on property holdings	Low	Medium	5	Administrator
TCFD reporting completeness	Low-Med	Med-High	4	Administrator

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Governance Risks

Risk	Likelihood	Impact	Score	Owner
Trustee board composition and skills	Med-High	Med-High	12	Sponsor
Adviser rotation and independence	Low	High	7	Trustee
Conflict of interest management	Low	Medium	14	Sponsor

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